Third, power-sector policy needs complete overhauling. Four principal policy reforms would be needed. First, create a national power market with bulk power purchase and sales taking place only in the power market. Second, stop building power plants in the public sector. All new power-sector projects, most specifically renewables, should come up only in the private sector. Third, the distribution end of power infrastructure should be completely privatized. Fourth, the generation and transmission business in the central and state public sector should be consolidated and handed over to the national and state sovereign asset management companies to manage or be privatized.

These policies would require considerable action. All state power distribution companies should be disbanded by creating 250 city-based private power distribution companies. The system of long-term power purchase agreements should be liquidated by a statute and a free exchange-based power market created. No state government should have any power generation, transmission or distribution company under its belt. The central power business should be organized in three central government entities: NTPC, PowerGrid and one more company that can competitively build a city-based power distribution and supply business. All other Central government power companies should be sold to private enterprises or at best be transferred to NTPC and the distribution company.

Fourth, the present departmental undertaking of the Railways should be restructured in four verticals: passenger tracks and railway infrastructure; freight tracks and related railway infrastructure, along with the incoming dedicated freight corridor infrastructure; the passenger traffic business, along with all wagons and engines; and all the remaining businesses, including manufacturing facilities, residential colonies, catering and ticketing. Passenger tracks and related infrastructure can be organized in an appropriate number of subsidiaries under one holding company, say, IndRail Tracks and Stations. Freight carrying lines that connect ports, mines